

5.3. AGENCY ISSUES

The ETF Business

ETFs have much lower margins than traditional mutual funds. While the average mutual fund has an expense ratio of 80 basis points (see Figure 16.7), the average ETF charges 20 basis points (see French (2008)). Many traditional mutual fund companies have introduced ETFs as money flowing into regular mutual funds has been slowing. They are doing this with reluctance—ETFs are generally less profitable and cannibalize higher-margin traditional funds. Janus, for example, has been late to hop on the ETF bandwagon. It filed with the SEC on September 3, 2010, to launch active ETFs, but as of the time of writing in 2013 had yet to launch an ETF.

The top three ETF sponsors at the end of 2011 were iShares, StateStreet, and Vanguard with AUMs of \$448 billion, \$267 billion, and \$170 billion, respectively. (The rest of the players are much smaller.) The big three are engaged in a “battle of the basis points” in driving ETF costs lower.⁵⁷ Some broad-based index ETFs now carry expense ratios below 0.05%.

At the time of writing, there is only one listed pure ETF sponsor company, WisdomTree Investments. This is the only company where we can directly see the profitability of the ETF business—all the other companies that sponsor ETFs do so in divisions of larger companies and do not separately break out ETF revenue. WisdomTree’s AUM was \$12.2 billion at the end of December 2011, making it the seventh largest ETF sponsor in the U.S. WisdomTree launched its first ETF in June 2006 and listed on NASDAQ in July 2011. In its 2011 fiscal year, the first in which it posted a profit, WisdomTree posted an operating margin of 5%—peanuts compared with the 32% operating margin of Janus in the same year (see Table 16.8).

Low margins in the ETF business mean that you need a lot of scale. Barclays Global Investors (BGI), now part of BlackRock, launched its iShares division in 1999.⁵⁸ The plan was risky because BGI needed \$100 billion of AUM to break even. When BGI jumped in, it launched an entire platform of ETFs, along with a comprehensive education campaign for investors. It was a bold, bet-the-firm kind of decision by the CEO of BGI, Blake Grossman, and the CEO of iShares, Lee Kranefuss. They made the right call—BGI’s ETF business took off.

The big ETF guys need to be really big in order to make money. And they need to get even bigger as fees continue to fall.

One area that ETFs have yet to crack is the 401(k) market. Consultants and mutual fund company sponsors still dominate this arena. (Many consultants benefit from some of the 12(b)-1 fees, and consultants and plan sponsors have kick-back arrangements with mutual fund companies.) ETFs account for just 0.2%

⁵⁷ Lydon, T., “Investors Like ETFs’ Low Fees, Liquidity,” *ETF Trends*, Dec. 27, 2012.

⁵⁸ See the Harvard Business School case, “Barclays Global Investors and Exchange Traded Funds,” 2007, by Luis M. Viceira and Alison Berkeley Wagonfeld.